

many parts of the developing world. We've owned telephone and cellular phone companies in Korea, the Philippines, Brazil, and Italy. China would offer a fantastic opportunity, but the government has forbidden any foreign ownership of telecommunications facilities.

I've also mentioned the ship repair industry in Singapore. The Singapore yards are the lowest-cost yards in the world, and merchant fleets universally are in dire need of upgrading.

Another theme is printing and publishing. Newspaper advertising—and profits—rise rapidly as more and more readers move into the middle class. We've owned newspaper stocks in Holland, Norway, Turkey, Malaysia, and Hong Kong.

Distribution systems in the developing world offer another area of concentration. In Taiwan we own President Enterprises, which runs 7-Eleven stores; in Mexico, we've invested in Nadro, a pharmaceutical wholesaler.

Tigers Unleashed

China constitutes a theme unto itself. I believe the country today is in a position very like that of Japan in the early 1950s. China is reviving from the anarchy of its Communist rule the way Japan had to emerge from the devastation of World War II, and China can be equally successful, for its people are just as intelligent and hard-working. The Japanese market advanced more than three hundred-fold in the years following 1950. That miracle can be reenacted. At present most China investments are made through Hong Kong companies, but to some degree, all Southeast Asia is a China play. Direct investments will follow.

China is not going to be easy, however. When an investor first hears about China, it sounds like heaven. It has no lawyers and no accountants. But what you realize after a while is that China needs